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AIB AXYS AFRICA

Weekly Global Markets Note

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• Global Markets Commentary

- Global markets regained momentum during the week, as investors looked past near-term geopolitical risks and refocused on resilient earnings, easing bond yields, and expectations that central banks may avoid further aggressive tightening despite persistent inflation concerns. While tensions in the Middle East and continued uncertainty around the Strait of Hormuz remained key market risks, the absence of a major escalation helped improve overall risk appetite.
- Investor sentiment was further supported by signs that inflation pressures, while still elevated, may not accelerate as sharply as initially feared following the recent oil price shock. Markets increasingly interpreted the latest inflation data as manageable within the broader macro cycle, prompting a partial reversal in the sharp bond market selloff witnessed in previous weeks. This came as investors reassessed the likelihood of additional aggressive rate hikes, particularly in the US and Europe.
- In the US, focus remained on the Federal Reserve's policy outlook under Kevin Warsh, with markets closely monitoring whether the recent rise in energy prices would materially alter the inflation outlook. At the same time, continued strength in AI-linked earnings and broader corporate resilience helped sustain equity market optimism, even as volatility within technology stocks remained elevated.
- Meanwhile, global markets continue to operate within what Standard Chartered described as a "fragile equilibrium," where optimism around earnings growth is increasingly being balanced against inflationary risks tied to energy markets and geopolitical developments.

• Select Global Market Indices

Indices	Current	Previous	w/w % change
S & P 500	7,473	7,409	▲ 0.9%
DAX	24,889	23,906	▲ 4.1%
Nikkei 225	63,339	61,409	▲ 3.1%
Hang Seng	25,606	25,963	▼ (1.4%)
FTSE 100 (FTSE)	10,466	10,195	▲ 2.7%
Dow Jones	50,580	49,526	▲ 2.1%
Median			**▲ 2.4%**

Source: Investing.com AIB AXYS Research

- Global equity markets rebounded strongly during the week, posting a median gain of 2.4%, as easing bond yields and improving risk sentiment helped stabilize markets following the volatility witnessed earlier in the month. Improved risk appetite also supported cyclical and growth-oriented sectors.
- In the US, equities extended gains, with the S&P 500 rising 0.9% to 7,473, while the Dow Jones Industrial Average advanced 2.1% to 50,580. The recovery was supported by strength in industrial and AI-linked stocks, alongside expectations of a more measured Fed policy stance.
- Across Europe, markets posted broad gains, with Germany's DAX climbing 4.1% to 24,889, while the FTSE 100 rose 2.7% to 10,466. European equities benefited from easing bond yields despite persistent energy-related inflation risks.
- In Asia, Japan's Nikkei 225 advanced 3.1% to 63,339, supported by continued yen weakness and resilient corporate earnings, while Hong Kong's Hang Seng Index declined 1.4% to 25,606 amid continued concerns around China's domestic demand recovery.

• Fixed Income:

Bond	Current	Previous	w/w change
US 10 Yr Bond	4.57%	4.60%	▼ (2.4bps)
UK 10 Yr Gilt	4.91%	5.18%	▼ (27.6bps)
Germany 10 Yr Bund	3.03%	3.17%	▼ (13.6bps)
Japan 10 Year Bond	2.76%	2.71%	▲ 5.9bps

Source: Investing.com, Bloomberg, AIB AXYS Research

- Bond markets stabilized during the week after the sharp repricing observed previously, with yields declining across most developed markets as investors reassessed the inflation outlook and reduced expectations for additional aggressive policy tightening in the near term.
- In the US, the 10-year Treasury yield declined by 2.4 bps to 4.57%, retreating from recent highs as markets interpreted the latest inflation data as unlikely to trigger an immediate policy response from the Federal Reserve. The decline also reflected renewed demand for government bonds following the sharp selloff in prior weeks.
- In Europe, Germany's 10-year Bund yield fell by 13.6 bps to 3.03%, while the UK's 10-year gilt yield declined sharply by 27.6 bps to 4.91%. The pullback in yields suggests markets are beginning to price in a more balanced outlook between inflation risks and slowing growth expectations, particularly as elevated energy costs continue to weigh on the broader European economic outlook.
- In Asia, Japan's 10-year government bond yield rose by 5.9 bps to 2.76%, extending recent gains as markets continued to position for further monetary policy normalization by the Bank of Japan amid persistent domestic inflation pressures and sustained yen weakness.

• Currencies:

Currency	Current	Previous	w/w change
AUD/USD	0.7127	0.7151	▼ (34bps)
USD/JPY	159.200	158.770	▲ 27bps
GBP/USD	1.343	1.333	▲ 79bps
EUR/USD	1.160	1.163	▼ (20bps)
US Dollar Index	99.19	99.21	▼ (2bps)

Source: Investing.com AIB AXYS Research

- The US dollar traded broadly flat during the week, with the US Dollar Index easing marginally by 2 bps to 99.19, as improving global risk sentiment reduced safe-haven demand for the greenback.
- The British Pound strengthened notably against the dollar, with GBP/USD rising by 79 bps to 1.343, supported by easing gilt yields and expectations that the Bank of England may maintain a cautious approach toward further policy tightening as growth concerns intensify. Meanwhile, the Japanese Yen weakened further, with USD/JPY rising by 27 bps to 159.200, as divergence between US and Japanese interest rates continued to pressure the currency despite growing expectations for additional tightening by the Bank of Japan.
- Additionally, the Euro and Australian dollar weakened modestly against the US dollar, with EUR/USD and AUD/USD declining by 20 bps and 34 bps respectively.

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